Credit Unions

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _credit union_.

1.2

In this Part, the following definitions shall apply:

additional activity

means:

1. (1) an additional activity carried out or additional service provided by a _credit union_ as described in 3.3, 3.5, Chapter 4, 6.4 or Chapter 7;
2. (2) entering into a _conditional sale agreement_ , as the seller, with a _member_ of the _credit union_ pursuant to section 11E of the Credit Unions Act 1979;
3. (3) entering into a _hire purchase agreement_ , as the _person_ from whom goods are bailed or (in Scotland) hired, with a _member_ of the _credit union_ pursuant to section 11E of the Credit Unions Act 1979;
4. (4) providing credit cards; or
5. (5) lending to _corporate members_.

authorisation

means authorisation as an _authorised person_ for the purposes of _FSMA_.

attached shares

means _shares_ in the _credit union_ , other than _deferred shares_ :

1. (a) in relation to a _Great Britain credit union_ , the withdrawal of which is not permitted by section 7(5) of the Credit Unions Act 1979; or
2. (b) in relation to a _Great Britain credit union_ , the withdrawal of which is not permitted by the terms of a loan made to a _member_ ; or
3. (c) in relation to a _Northern Ireland credit union_ the withdrawal of which is not permitted by article 23(4) of the Credit Unions (Northern Ireland) Order 1985; or
4. (d) the withdrawal of which is not permitted without seeking and obtaining the permission of the _governing body_ of the _credit union_.

In relation to a _Great Britain credit union_ , paragraph (d) of this definition is relevant only where the _credit union_ made a loan to the holder of the shares before the Legislative Reform (Industrial and Provident Societies and Credit

Unions) Order 2011 came into force.

bad debt

refers to a loan by a _credit union_ to a _member_ of that _credit union_ that is more than three months in arrears.

borrowings

means the total closing balances of all loans received by a _credit union_ (excluding any subordinated loans) and overdrafts and committed lines of credit available to a _credit union_.

_capital _

has the meaning given in Chapter 8.

Chief Executive function

means the function of having responsibility, under the immediate authority of the _governing body_ , alone or jointly with others, for carrying out the management of the conduct of the whole of the business of a _credit union_.

conditional sale agreement

has the meaning given in section 31(1) of the Credit Unions Act 1979.

corporate bond

means a senior sterling-denominated bond issued by a company and traded on a _regulated market_ in the _UK_ that is not a bond issued by a _credit institution_ or a bond issued by a _holding company_ of a _credit institution_.

corporate members

has the meaning given:

1. (1) in relation to a _Great Britain credit union_ , in section 5A of the Credit Unions Act 1979; or
2. (2) in relation to a _Northern Ireland credit union_ , in article 14A of the Credit Unions (Northern Ireland) Order 1985.

counterparty

means:

1. (1) an _undertaking_ ;
2. (2) a _qualifying money market fund_ ;
3. (3) the government of the _United Kingdom_ , together with all the public bodies, local authorities or nationalised industries; or
4. (4) a _supranational institution_ ,

in which a _credit union_ has made _investments_ or against whom it has rights whether under a contract entered into by the _credit union_ or otherwise. Where a _counterparty_ is an _undertaking_ , the definition also includes a _group undertaking_.

credit rating

has the meaning given in Article 3(1)(a) of Regulation (EC) No 1060/2009 of the European Parliament and of the Council of 16 September 2009 on credit rating agencies.

credit rating agency

has the meaning given in Article 3(1)(b) Regulation (EC) No 1060/2009 of the European Parliament and of the Council of 16 September 2009 on credit rating agencies.

CTF

means a child trust fund as defined in section 1(2) of the Child Trust Funds Act 2004.

data elements

means a discrete fact or individual piece of information relating to a particular field within a _data item_.

data items

means one or more related _data elements_ that are grouped together into a prescribed format and required to be submitted by a _firm_.

deferred share

has the meaning given by section 31A of the Credit Unions Act 1979.

deposit

has the meaning given by section 5(2) of the _Regulated Activities Order_.

depositor

means the holder or, in the case of a _joint account_ , each of the holders, of a _deposit_.

excluded credit union

means a _credit union_ which has average total gross assets of £250 million or less, determined on the basis of the annual average amount of gross assets calculated across a rolling period of five years or, if it has been in existence for less than five years, across the period during which it has existed (in each case, calculated with reference to the _credit union_ ?s annual accounting reference date).

exposure

means the aggregate _net liability_ of a _person_ to a _credit union_.

FSCS compensation sum

means the maximum amount of compensation payable by the _FSCS_ in relation to an _eligible deposit_ as set out in Depositor Protection 4, excluding any compensation sum payable for a _temporary high balance_.

Great Britain credit union

means a _credit union_ within the scope of the Co-operative and Community Benefit Societies Act 2014.

group undertaking

has the meaning given in section 1161(5) of the Companies Act 2006.

hire purchase agreement

has the meaning given in section 31(1) of the Credit Unions Act 1979.

holding company

has the meaning given in section 1159(1) of the Companies Act 2006.

juvenile deposit

a _deposit_ received by a _credit union_ from an individual under the age at which an individual may lawfully become a _member_ of that _credit union_.

large exposure

means an aggregate _net liability_ of a _person_ to a _credit union_ that meets both the following criteria:

1. (1) it is at least £7,500; and
2. (2) it is at least 10% of the value of the __credit union?s_ capital_.

_maturity _

means, in relation to a security or loan, the last or only date on which it will be repayable by or under its terms.

member

means a _person_ that is a member within the scope of section 5(2) of the Credit Unions Act 1979 and article 14(2) Credit Unions (Northern Ireland) Order 1985.

net liability

means the outstanding balance of any loan made to a borrower and any interest or charges on that loan that are due but unpaid, less any _attached shares_ held by the borrower.

non-deferred shares

means _shares_ that are not _deferred shares_.

non-UK bank bond

means a senior sterling-denominated bond issued by a _credit institution_ that has permission under Part 4A of _FSMA_ to carry on the regulated activity of accepting deposits (excluding a _UK bank_) and traded on a _regulated market_ in the _UK_.

Northern Ireland credit union

means a _credit union_ registered under the Credit Unions (Northern Ireland) Order 1985.

protected disclosure

a qualifying disclosure, as defined in section 43B of the Employment Rights Act 1996, made by a _worker_ in accordance with any of sections 43C to 43H of the Employment Rights Act 1996.

qualifying money market fund

has the meaning given in the Glossary to the _FCA Handbook_.

regulated mortgage contract

has the meaning given in article 61(3)(a) of the _Regulated Activities Order_ , but excludes a re-mortgage contract with no change to the principal sum outstanding by the same _credit union_ that was a party to the original mortgage contract.

relevant staff

means any of the following:

1. (1) a _director_ or manager of the _credit union_ ;
2. (2) personnel (whether _remunerated_ or not) of the _credit union_ ; as well as any other natural person whose services are placed at the disposal and under the control of the _credit union_ and who is involved in the provision by the _credit union_ of _regulated activities_ ; or
3. (3) a natural person who is directly involved in the provision of services to the _credit union_ under an _outsourcing_ arrangement, for the purpose of the provision by the _credit union_ of _regulated activities_.

reportable concern

means a concern held by any _person_ in relation to the activities of a _firm_ , including:

1. (1) anything that would be the subject of a _protected disclosure_ , including a breach of any _rule_ ;
2. (2) a failure to comply with the _firm_ ?s policy and procedures; and
3. (3) behaviour that has or is likely to have an adverse effect on the _firm_ ?s reputation or financial well-being.

secured loan

means a loan that is secured by a readily-realisable asset whose market value is ascertainable and verifiable.

share

means any amount received and not repaid by a _credit union_ by way of subscription, including partial subscription, for a share in a _credit union_.

single customer view

has the meaning given in Depositor Protection 1.4.

supranational bond

means a sterling-denominated bond issued by a _supranational institution_.

supranational institution

means:

1. (1) African Development Bank;
2. (2) Asian Development Bank;
3. (3) Bank for International Settlements;
4. (4) Caribbean Development Bank;
5. (5) Council of Europe Development Bank;
6. (6) Development Bank of Latin America;
7. (7) European Company for the Financing of Railroad Rolling Stock;
8. (8) European Bank for Reconstruction and Development;
9. (9) European Central Bank;
10. (10) European Investment Bank;
11. (11) European Investment Fund;
12. (12) European Union;

13. (13) Inter-American Development Bank;
14. (14) International Bank for Reconstruction and Development;
15. (15) International Finance Corporation;
16. (16) International Finance Facility for Immunisation;
17. (17) International Monetary Fund;
18. (18) Islamic Development Bank; or
19. (19) Nordic Investment Bank.

surplus funds

means funds not immediately required for a _credit union?s_ acceptance of _deposits_ , lending and ancillary purposes.

total assets

means the sum of all assets that appear on the balance sheet of the relevant monthly financial statement.

total non-deferred shares

means the balance of a _credit union?s_ _non-deferred shares_ that appears in the most recent annual return to have been reported to the _PRA_ under 7.1 Regulatory Reporting.

total relevant liabilities

means the sum of:

1. (a) _unattached shares_ and _deposit_ s by natural persons too young to be _members_ ; and
2. (b) liabilities, other than liabilities for _shares_ , with an original or remaining _maturity_ of less than three months.

transactional account

means an account at a _credit union_ that is regularly used by a _member_ of that _credit union_ for the receipt of funds from, and disbursement of funds to, third parties.

unattached shares

means _shares_ that are not _attached shares_ or _deferred shares_.

UK bank bond

means a senior sterling-denominated bond issued by a _UK bank_ and traded on a _regulated market _in the _UK_.

unsecured loan

means a loan that is not a _secured loan_.

worker

has the meaning as defined by section 230(3) of the Employment Rights Act 1996 and as extended under section 43K of the Employment Rights Act 1996.

1.3

A reference in this Part to a provision of the Employment Rights Act 1996 includes a reference to the corresponding provision of the Employment Rights (Northern Ireland) Order 1996.

2

Shares and Deposits

2.1

For the purposes of this Chapter, in relation to a _joint account_ :

1. (1) the _shares_ attributable to a _member_ must be treated by a _credit union_ as the amount arrived at by dividing the balance in the _joint account_ by the number of _members_ with an interest in that account; and
2. (2) the _juvenile deposits_ attributable to an individual must be treated by a _credit union_ as the amount arrived at by dividing the balance in the _joint account_ by the number of _juvenile depositors_ with an interest in that account.

2.2

Subject to 2.3 and 2.4, a _credit union_ must ensure that a _member_ does not have _non-deferred shares_ in the _credit union_ which in aggregate exceed the greater of:

1. (1) £15,000; and
2. (2) 1.5% of _total non-deferred shares_ in the _credit union_ ;

2.3

In the event that 1.5% of _total non-deferred shares_ in the _credit union_ exceeds the _FSCS compensation sum_ , a _credit union_ must notify the PRA in writing at least five _business days_ prior to issuing _non-deferred shares_ that exceed the _FSCS compensation sum_.

2.4

In the event of an increase in the percentage of _non-deferred shares_ held by a _member_ as a result of a reduction in the _total non-deferred shares_ occurring after the time at which that _member_ last acquired _non-deferred shares_ in the _credit union_ that would, but for this rule, result in a breach of the limits in 2.2:

1. (1) the increase in the percentage of the _non-deferred shares_ held by that _member_ is disregarded for the purposes of the limits in 2.2; and
2. (2) the _credit union_ must not accept subscriptions from that _member_.

2.5

A _credit union_ must not:

1. (1) pay different dividends on different accounts unless:
1. (a) at the time of the payment of any dividends it has a _capital_ -to-_total assets_ ratio of at least 5%; and
2. (b) the payment of any of those dividends does not reduce the _capital_ -to-_total assets_ ratio to below 5%; or
2. (2) pay dividends out of interim profits more than once a year unless it has _capital _of at least 8% of _total assets_.

2.6

Subject to 2.7 and 2.8, a _credit union_ must ensure that an individual does not have _juvenile deposits_ which in aggregate exceed the greater of:

1. (1) £10,000; and
2. (2) 1.5% of the _total non-deferred shares_ in the _credit union_.

2.7

In the event that 1.5% of _total non-deferred shares_ in a _credit union_ exceeds the _FSCS compensation sum_ , the _credit union_ must notify the _PRA_ in writing at least five _business days_ prior to accepting _juvenile deposits_ that exceed the _FSCS compensation sum_.

2.8

In the event of an increase in an individual?s _juvenile deposits_ expressed as a percentage of _total non-deferred shares_ as a result of a reduction in the _total non-deferred shares_ in the _credit union_ occurring after the time at which that individual last made a _deposit_ in the _credit union_ that would, but for this rule, result in a breach of the requirement in 2.6:

1. (1) the increase in _juvenile deposits_ expressed as a percentage of the _total non-deferred shares_ held by that individual is disregarded for the purposes of the requirement in 2.6; and
2. (2) the __credit union_ _must not accept _deposits_ from that individual.

2.9

A _credit union_ must at all times maintain in force a policy of insurance that complies with the requirements in 2.10.

2.10

A policy of insurance must, subject to the exception in 2.11:

1. (1) insure the _credit union_ in respect of every description of loss suffered or liability incurred by reason of the fraud or other dishonesty of any of its _officers_ or _employees_ ;
2. (2) insure the _credit union_ up to the limits set out in 2.12 in respect of any one claim, except that the liability of the insurer may be restricted to the amounts set out in 2.12 in respect of the total of the claims made in any one year; and
3. (3) not, in relation to a claim, provide for an amount greater than 1% of the limits on any one claim set out in 2.12, to be met by the _credit union_.

2.11

From the losses and liabilities against which a policy that complies with the requirements of 2.10 must insure, there must be excepted all loss suffered or liability incurred by a _credit union_ other than direct pecuniary loss discovered during the currency of the policy of insurance or within 18 months of the date on which either the policy of insurance lapses, or the duties of the _officer_ or _employee_ concerned are terminated, whichever occurs first.

2.12

	Column (1) Aggregate value of _shares_ and _juvenile deposits_ , including those held in a _CTF _(for the purposes of this table, ?aggregate value?)	Column (2) Cover required in respect of any one claim	Column (3) Cover required in respect of total claims made in any one year
Row (A)	Less than £10,000	The higher of £500 or 50% of the aggregate value	The higher of £1,000 or 100% of the aggregate value
Row (B)	£10,000 to £100,000	The higher of £5,000 or 20% of the aggregate value	100% of the aggregate value
Row (C)	£100,000 to £1,000,000	The higher of £20,000 or 15% of the aggregate value	The higher of £100,000 or 75% of the aggregate value
Row (D)	More than £1,000,000	£150,000 plus 5% of the amount by which the aggregate value exceeds £1,000,000, subject to a maximum cover of £2,000,000	£750,000 plus 5% of the amount by which the aggregate value exceeds £1,000,000, subject to a maximum cover of £4,000,000

Notes:

(1) In relation to a _credit union_ which, at the relevant date, has accepted and not repaid share subscriptions and other _deposit_ s of the aggregate value stipulated in column (1) of the table in this chapter, the limit in respect of any one claim is the amount appearing in the corresponding part of column (2); and the amount in respect of the total of claims made in any one year is the amount appearing in the corresponding part of column (3).

(2) For these purposes, "the relevant date" is either the date of inception or renewal of the policy of insurance, or such other date as the _credit union_ determines, provided that the relevant date in each year subsequent to the first must be not more than one year after the relevant date in the preceding year.

3

Lending

3.1

For the purposes of the limits set out in this Chapter, the _attached shares_ attributable to a _member_ in respect of that _member_ ?s interest in a _joint account_ must be treated by a _credit union_ as no more than the amount arrived at by dividing the balance in the _joint account_ by the number of _members_ with an interest in that account.

3.2

Subject to 3.3, a _credit union_ must not make:

1. (1) an _unsecured loan_ , a _conditional sale agreement_ , or a _hire purchase agreement_ that is repayable within more than five years from the date of its provision; or
2. (2) a _secured loan_ , that is not a _conditional sale agreement_ , or a _hire purchase agreement_ , that is repayable within more than ten years from the date of its provision.

3.3

If a _credit union_ complies with 10.3, it may make:

1. (1) an _unsecured loan_ , a _conditional sale agreement_ , or a _hire purchase agreement _that is repayable within ten years from the date of its provision; or
2. (2) a _secured loan_ , that is not a _conditional sale agreement_ , or a _hire purchase agreement_ , that is repayable within 25 years from the date of its provision.

3.4

Subject to 3.5, 3.6 and 3.7 the outstanding balance of loans by a _credit union_ :

1. (1) to a _member_ , must not exceed £15,000 in excess of that _member?s attached shares_; and
2. (2) to another _credit union_ that is not a _member_ , must not exceed £15,000.

3.5

Subject to 3.6 and 3.7, the outstanding balance of loans by a _credit union_ that satisfy the requirements in 10.3:

1. (1) to a _member_ , must not exceed 1.5% of _total non deferred shares_ in excess of that _member?s attached shares_; and
2. (2) to another _credit union_ that is not a __member__ , must not exceed 1.5% of _total non deferred shares_.

3.6

A _large exposure_ must not exceed 25% of the _credit union's capital_.

3.7

The aggregate of all _large exposures_ must not exceed 500% of the _credit union's capital_.

3.8

A _credit union_ must not lend to a _member_ more than £7,500 in excess of the _attached shares_ held by that _member_ , or to another _credit union_ more than £7,500, unless it has a _capital_ -to-assets ratio of at least 5%.

3.9

A _credit union_ that is owed by a _member_ a total amount greater than £7,500 in excess of the _attached shares_ held by that _member_ , or by another _credit union_ an amount greater than £7,500, must maintain a _capital_ -to-_total-assets_ ratio of at least 5%.

3.10

A _credit union_ must make adequate provision for _bad debts_.

3.11

A _credit union_ must make specific provision in its accounts for _bad debts_ of at least the amounts set out below:

1. (1) 35% of the _net liability_ to the _credit union_ of borrowers where the amount is more than three months in arrears;
2. (2) 60% of the _net liability_ to the _credit union_ of borrowers where the amount is more than six months in arrears;
3. (3) 80% of the _net liability_ to the _credit union_ of borrowers where the amount is more than nine months in arrears; and
4. (4) 100% of the _net liability_ to the _credit union_ of borrowers where the amount is more than twelve months in arrears.

3.12

Where a delinquent loan is rescheduled or the arrears capitalised, the provision a _credit union_ is required to make immediately prior to the rescheduling or recapitalisation must be maintained until the loan has performed for six months.

3.13

A _credit union_ must not make a subordinated loan unless it:

1. (1) is provided to a _credit union_ ; and
2. (2) qualifies as _capital_ within the meaning of 8.2.

3.14

Prior to the provision of a subordinated loan, a _credit union_ must carry out an assessment of the financial implications of making the loan.

3.15

A _credit union_ must retain, for a period of five years following the date of a subordinated loan, a written record of the assessment in 3.14.

4

Mortgages

4.1

A _credit union_ must not enter into a regulated mortgage for a term of more than 25 years.

4.2

A _credit union_ must not be a party to a _regulated mortgage contract_ unless it complies with 10.3 at all times while it remains a party to that contract.

5

Borrowing

5.1

A _credit union_ must not borrow from a natural person other than by subordinated loan qualifying as _capital_ within the meaning given in 8.2.

5.2

A _credit union_ ?s _borrowings_ must not exceed 20% of the _total non-deferred shares_ in the _credit union_ at the end of more than two consecutive regulatory reporting quarters.

5.3

A _credit union_ must not count subordinated debt obtained by that _credit union_ and forming part of its _capital_ within the meaning given in 8.2 towards the borrowing limit in 5.2.

6

Investment

6.1

For the purposes of this Chapter, a loan is not an investment if it is provided by a _credit union_ on subordinated terms.

6.2

Surplus funds must be invested in accordance with this Chapter or held as cash in the custody of _officers_ of a _credit union_.

6.3

A _credit union_ must not hold _investments_ , save that it may hold an _investment_ that is:

1. (1) a _deposit_ placed with a _credit institution_ or with a _credit union_ which is authorised in the _UK_ to _accept deposits_ on terms that the _deposit_ shall be repayable within at most twelve months from the date on which that _investment_ is made;
2. (2) a loan, other than a subordinated loan qualifying as _capital_ within the meaning given in 8.2, to a _credit institution_ which is authorised in the _UK_ to _accept deposits_ , with a _maturity_ of up to twelve months from the date on which that _investment_ is made;

3. (3) a sterling-denominated security issued by the government of the _UK_ , with a _maturity_ of up to twelve months from the date on which that _investment_ is made;

4. (4) a fixed-interest sterling-denominated security guaranteed by the government of the _UK_ , with a _maturity_ of up to 12 months from the date on which that _investment_ is made, provided that such guarantee is unconditional in respect of the payment of both principal and interest on the security;

5. (5) described in 6.4, where the _credit union_ meets the conditions set out therein; or

6. (6) in an entity in order for it to provide ancillary services, including trade association services, exclusively to credit unions and their members and other mutual societies with a Part 4A permission and their members, where:

1. (a) the investment is for the benefit of the credit union and its members; and

2. (b) the ancillary services do not form part of the regulated activities of the credit union.

6.4

If a _credit union_ complies with 10.3, it may hold an _investment_ that is:

1. (1) [deleted.]

2. (2) a loan, other than a subordinated loan qualifying as _capital_ within the meaning given in 8.2, to a _credit institution_ which is authorised in the _UK_ to _accept deposits_ with a _maturity_ of up to five years from the date on which that _investment_ is made;

3. (3) a sterling-denominated security issued by the government of the _UK_ , with a _maturity_ of up to five years from the date on which that _investment_ is made;

4. (4) a fixed-interest sterling-denominated security guaranteed by the government of the _UK_ , with a _maturity_ of up to five years from the date on which that _investment_ is made, provided that such guarantee is unconditional in respect of the payment of both principal and interest on the security;

5. (5) any capital-protected product provided by a _credit institution_ authorised in the _UK_ to _accept deposits_ , with a _maturity_ of up to five years from the date on which that _investment_ is made;

6. (6) a _UK bank bond_ which has a _maturity_ that is up to five years from the date on which that _investment_ is made;

7. (7) a _corporate bond_ , a _non-UK bank bond_ or a _supranational bond_ which:

8. 1. (a) has a _maturity_ that is up to five years from the date on which that _investment_ is made; and

2. (b) has been assigned a _credit rating_ of investment grade or higher by at least two _credit rating agencies_ which are registered with the _FCA_ ; or

9. (8) in a _qualifying money market fund_ which:

10. 1. (a) is authorised by the _FCA_ ; and

2. (b) has assets under management of at least £100 million.

6.4A

A _credit union_ shall not:

1. (1) directly invest more than 5% of its _capital_ in _non-UK bank bonds_ or _corporate bonds_ issued by a particular _counterparty_ ; or

2. (2) invest more than 30% in total of its _capital_ in _investments_ permitted by 6.4(7)-(8).

6.5

Prior to making an investment decision, a _credit union_ must carry out an assessment to satisfy itself that:

1. (1) it has sufficient liquidity to tie-up the relevant funds for the life of the product;

2. (2) it can afford to sacrifice any haircut on early redemption;

3. (3) by comparison with other possible uses of the funds in question, the potential return merits the risk of investment for the period to _maturity_ of the _investment_ , including the risk of no positive return; and
4. (4) the investment would not create excessive source or time band concentrations.

6.6

A _credit union_ must retain, for a period of five years following the date of the investment, a written record of the assessment in 6.5.

6A

Investment ? Transitional Provisions

6A.1

This rule is effective from 23:00 on 31/12/2020.

The references in 6.3 to the _UK_ shall be read as references to the _UK_ or an _EEA State_ except that in the case of an _EEA State_ where the investment was made after _IP completion day _the maturity referred to therein shall be no later than 31 March 2022.

6A.2

This rule is effective from 23:00 on 31/12/2020.

The references in 6.4 to the _UK_ shall be read as references to the _UK_ or an _EEA State_ except that in the case of an _EEA State_ where the investment was made after _IP completion day_ the maturity referred to therein shall be no later than 31 March 2022.

7

Transactional Accounts

7.1

A _credit union_ that provides _transactional account_ services must at all times while providing such services comply with 10.3.

8

Capital

8.1

A _credit union_ must have adequate capital taking into account the nature, scale and complexity of its business.

8.2

For the purposes of this Chapter,

1. (1) capital comprises the following items:
1. (a) audited reserves;
2. (b) interim net profits;
3. (c) _deferred shares_ ;

4. (d) subordinated debt that meets the requirements set out at (5); and

5. (e) revaluation reserves, arising from the differences between book values and the current market values of property fixed assets that meet the requirements in (6) and (7) and are subject to the limit in 8.3.

2. (2) audited reserves are audited accumulated profits or losses, or both, retained by a _credit union_ after payment of tax, dividends and interest on _deposits_ and include other realised gains and gifts of capital. _Deferred shares_ are included in the definition, but must not be counted twice in the calculation, of ?capital?. Where a _credit union's_ audited reserves include sums equal to the amount paid on _deferred share_ subscribed for in full and transferred to reserves in accordance with section 7(6) of the Credit Unions Act 1979, that amount must not also be counted separately under (1)(c).

3. (3) profits means the profits resulting from the operations of a _credit union_ in the year of account in question after deduction of all operating expenses, including payment of interest, and after making provision for the depreciation of assets, tax liabilities and _bad debt_ , but before the payment of any dividend.

4. (4) interim net profits are interim profits net of tax and anticipated dividends (any interim losses must be deducted from capital).

5. (5) to be included in the calculation of capital, subordinated debt must meet the following conditions:

1. (a) the _maturity_ of the loan must be more than five years from the date on which the loan is made;

2. (b) the subordination provisions provide that the claims of the subordinated creditors rank behind those of all unsubordinated creditors including the _credit union_ 's shareholders;

3. (c) to the fullest extent possible, creditors waive their rights to set off amounts they owe the _credit union_ against subordinated amounts owed to them by the _credit union_ ;

4. (d) the only events of default are non-payment of any interest or principal under the debt agreement or the winding-up of the _credit union_ ;

5. (e) the remedies available to the subordinated creditor in the event of default in respect of the subordinated debt are limited to petitioning for the winding up of the _credit union_ or proving for and claiming in the liquidation of the _credit union_ ;

6. (f) the subordinated debt must not become due and payable before its stated final _maturity_ date except on an event of default complying with (d);

7. (g) the terms of the subordinated debt must be set out in a written agreement or instrument that contains terms that provide for the above conditions; and

8. (h) the debt must be unsecured and fully paid up.

6. (6) to be included in the calculation of capital, revaluation reserves must meet the following conditions:

1. (a) the _credit union_ must apply the revaluation method to all of its property fixed assets and not selectively;

2. (b) the values must result from professional valuations of each property;

3. (c) no professional valuation of a property can be more than five years old and, in the intervening year or years in which a property is not professionally valued, the _governing body_ must have undertaken an interpolation of value which takes into account any decline in property values disclosed by valuations of other properties in that year or those years; and

4. (d) any increase of revaluation reserve must be supported by a professional valuation.

7. (7) subject to the conditions in (6), and the limit in 8.3, the amount of revaluation reserve used for the calculation of capital must be the lesser of:

1. (a) the amount standing to the credit of any such reserve in the balance sheet in the most recent annual return to have been sent to the _PRA_ as may be required by the _PRA_ under _rules_ ; and

2. (b) the amount of any such reserve in the accounting records of the _credit union_.

8.3

The amount of revaluation reserve that a _credit union_ is permitted to include in the calculation of its capital must not exceed 25% of the _credit union?s_ capital.

8.4

The amount of any subordinated loan that qualifies as capital must, over its final four years to _maturity_ or, where the subordinated loan requires repayment in tranches, over the final four years to _maturity_ of each tranche, be written down by a _credit union_ by 20% of the amount of the loan or tranche per year.

8.5

A _credit union_ must have:

1. (1) subject to 8.5A, _capital_ of at least 3% of _total assets_.
2. (2) [deleted]
3. (3) [deleted]

8.5A

A _credit union_ that has _total assets_ of more than £5 million must have:

1. (1) _capital_ of at least 5% of _total assets_ up to and including £10 million; and
2. (2) _capital_ of at least 8% of _total assets_ above £10 million up to and including £50 million; and
3. (3) _capital_ of at least 10% of _total assets_ above £50 million.

8.6

A _credit union_ must notify the _PRA_ immediately if its _capital_ is below the relevant minimum threshold stipulated in 8.5.

8.7

[Deleted.]

8.8

If, at the end of any year of account, the amount of its _capital_ is less than 10% of its _total assets_ , a _credit union_ must transfer to its general reserve at least 20% of its profits for that year (or such lesser sum as is required to bring the amount in its capital up to 10% of its _total assets_).

8.9

A _credit union_ must not make a transfer from its general reserve if its _capital_ is equal to an amount that is less than 10% of _total assets_ or if as a result of such a transfer its _capital_ would be reduced to an amount that is less than 10% of _total assets_.

9

Liquidity

9.1

For the purposes of this Part, and subject to 9.2, a _credit union_ must not count an asset as a liquid asset unless it is cash or can be realised for cash within eight _business days_.

9.2

A _credit union_ must hold liquid assets equal to at least 10% of its _total relevant liabilities_.

9.3

A _credit union_ must not count as a liquid asset:

1. (1) an amount loaned to another _credit union_ ; or
2. (2) a property purchased, or held by it, as premises from which to conduct its business.

9.4

The amount and composition of liquid assets held by a _credit union_ must be prudent and appropriate to the nature, scale and complexity of its business, having regard to material risks, including the risk of a sudden adverse cash flow.

9.5

A _credit union_ must notify the _PRA_ immediately if its liquid assets are below 10% of its _total relevant liabilities_ for more than two consecutive _business days_.

9.6

When calculating the ratio of its liquid assets to its _total relevant liabilities_ , a _credit union_ must value a security with a maturity of one to five years on the basis that it could be realised at market value minus a discount of 5%.

9.7

An asset maturing on a day that is not a _business day_ must be treated by a _credit union_ as maturing on the next _business day_.

10

Governance

10.1

A _credit union_ must ensure that the _governing body_ reports to the _members_ at the annual general meeting of the _credit union_ on the following matters:

1. (1) the _credit union?s_ compliance, or otherwise, with Depositor Protection 11 and:
1. (a) Depositor Protection 12, 14 and those requirements of Depositor Protection 15 that relate to Depositor Protection 11; or
2. (b) Depositor Protection 49 to 51,
3. as applicable;
2. (2) whether the _credit union_ has maintained at all times a policy of insurance complying with 2.10;
3. (3) any _additional activities_ the _credit union_ is carrying out and whether or not it is in compliance with any requirement in this Part applicable to those _additional activities_ ; and
4. (4) if the _credit union_ has more than 15,000 _members_ , whether or not it is in compliance with any requirement in this Part applicable to a _credit union_ with more than 15,000 _members_.

10.2

A _credit union_ must:

1. (1) establish, implement and maintain an up-to-date lending policy statement approved by the _governing body_ that is designed to protect the viability and sustainability of the _credit union_ ;
2. (2) ensure that its lending policy statement is prudent and appropriate to the scale and nature of the its business; and

3. (3) review and approve its lending policy whenever there is a change in circumstances of the _credit union_ and, in the absence of any such change, on an annual basis.

10.3

A _credit union_ that is carrying out any _additional activity_ or has more than 15,000 _members_ must:

1. (1) establish, implement and maintain an up-to-date financial risk management policy statement approved by the _governing body_ ;
2. (2) ensure that the financial risk management policy:
1. (a) addresses both interest rate and funding risk;
2. (b) covers aggregate limits on holdings of investments and borrowings from sources other than _members_ ;
3. (c) deals with avoidance of excessive funding concentrations (both source and time-band concentrations);
4. (d) details the organisational arrangements, systems and controls in respect of these matters; and
3. (3) ensure that its _governing body_ monitors and assesses the risks associated with the carrying on of such activities or with having more than 15,000 _members_ on at least a monthly basis.

10.4

A _credit union_ referred to in 10.3 must ensure that the _governing body_ reviews and approves its financial risk management policy whenever there is a change in circumstances of the _credit union_ and, in the absence of any such change, on an annual basis.

10.5

A _credit union_ must:

1. (1) establish, implement and maintain an up-to-date liquidity management policy statement approved by the _governing body_ ; and
2. (2) ensure that the _governing body_ reviews and approves its liquidity management policy statement whenever there is a change in circumstances of the _credit union_ and, in the absence of any such change, on an annual basis.

10.6

A _credit union_ must ensure that:

1. (1) it sets and documents large _exposure_ limits in a large _exposure_ limits policy to avoid concentration of risk;
2. (2) the _governing body_ ?s responsibilities include the monitoring of large _exposures_ and the review of the _credit union?s_ compliance with the large _exposures_ policy; and
3. (3) the _governing body_ reviews the large _exposures_ limits policy whenever there is a change in circumstances of the _credit union_ and, in the absence of any such change, on an annual basis.

10.7

1. (1) A _credit union_ must send to the _PRA_ a copy of its audited accounts published in accordance with section 82 of the Co-operative and Community Benefit Societies Act 2014 or provided in accordance with article 49 of the Credit Unions (Northern Ireland) Order 1985.
2. (2) The accounts referred to in (1) must:
1. (a) be made up for the period beginning with the date of the _credit union_ 's registration or with the date to which the _credit union_ 's last annual accounts were made up, whichever is the later, and ending on the _credit union_ 's most recent financial year end; and
2. (b) accompany the annual return submitted to the _PRA_ as may be required by the _PRA_ under _rules_ , unless

they have been submitted already.

11

General Organisational Requirements

11.1

A _credit union_ must establish, implement and maintain:

1. (1) robust governance arrangements, which include a clear organisational structure with well-defined, transparent and consistent lines of responsibility;
2. (2) effective processes to identify, manage, monitor and report the risks it is or might be exposed to, and
3. (3) adequate internal control mechanisms designed to secure compliance with decisions and procedures at all levels of the _credit union_ , including sound administrative and accounting procedures and effective control and safeguard arrangements for information processing systems.

11.2

A _credit union_ must ensure that the arrangements, processes and mechanisms referred to in 11.1 are comprehensive and proportionate to the nature, scale and complexity of the risks inherent in its business model and activities.

11.3

A _credit union_ must establish, implement and maintain systems and procedures that are adequate to safeguard the security, integrity and confidentiality of information, taking into account the nature of the information in question.

11.4

A _credit union_ must establish, implement and maintain a fully documented system of control, including documenting the system of control it is required to establish and maintain under section 75 of the Co-operative and Community Benefit Societies Act 2014 or under article 40 of the Credit Unions (Northern Ireland) Order 1985.

11.5

A _credit union_ must ensure that the _governing body_ defines, oversees and is accountable for the implementation of governance arrangements that ensure effective and prudent management of the _credit union_ , including the segregation of duties in the organisation and the prevention of conflicts of interest. The _credit union_ must ensure that the _governing body_ :

1. (1) has overall responsibility for the _credit union_ ;
2. (2) approves and oversees implementation of the _credit union_ ?s strategic objectives, risk strategy and internal governance;
3. (3) ensures the integrity of the _credit union_ ?s accounting and financial reporting systems, including financial and operational controls and compliance with the _regulatory system_ ;
4. (4) oversees the process of disclosure and communications;
5. (5) has responsibility for providing effective oversight of individuals who effectively direct the business of the _credit union_ ; and
6. (6) monitors and periodically assesses the effectiveness of the _credit union_ ?s governance arrangements and takes appropriate steps to address any deficiencies.

11.6

A _credit union_ must ensure that the chairman of the _governing body_ does not exercise simultaneously the _Chief Executive function_ within the _credit union_ , where there is such a function within the _credit union_.

11.7

A _credit union_ must establish, implement and maintain an up-to-date business plan approved by the _governing body_.

11.8

A _credit union_ must establish, implement and maintain an up-to-date and fully documented policies and procedures manual.

12

Whistleblowing

12.1

A _credit union_ other than an _excluded credit union_ must establish, implement and maintain appropriate and effective arrangements for the disclosure of _reportable concerns_ by a _person_, including a _firm?s employee_, internally through a specific, independent and autonomous channel.

12.2

The channel in 12.1 may be provided through arrangements with third parties, including social partners, subject to any applicable requirement under Chapter 14.

12.3

A _credit union_ other than an _excluded credit union_ must inform all _workers_ of the channel referred to in 12.1.

12.4

A _credit union_ other than an _excluded credit union_ must inform all _workers_ :

1. (1) that they may disclose directly to the _PRA_ or to _the FCA_ anything that would be the subject-matter of a _protected disclosure_ ;
2. (2) of what would constitute a _protected disclosure_ ;
3. (3) that the _PRA_ or _the FCA_ are prescribed _persons_ under the Employment Rights Act 1996 and the effect of making a _protected disclosure _to the _PRA_ or to _the FCA_ ; and
4. (4) of the means available to make a protected disclosure to the _PRA_ or _the FCA_.

12.5

A _credit union_ other than an _excluded credit union_ must ensure that nothing in its arrangements prevents or discourages any _worker_ from making any disclosure to the _PRA_ or _the FCA_ before making the disclosure through the channel referred to in 12.1.

12.6

A _credit union_ other than an _excluded credit union_ must ensure that nothing in any employment contract or settlement agreement, including any other related or ancillary documentation, between the _credit union_ and a _worker_ in relation to the _worker_ ?s employment, entered into after the date on which these _rules_ come into force, prevents or discourages the _worker_ from:

1. (1) making a _protected disclosure_ , including to the _PRA_ ; and
2. (2) making a further _protected disclosure_ connected to a _protected disclosure_ already made under (1).

13

Employees, Agents and Other Relevant Staff

13.1

A _credit union_ must ensure that the _governing body_ :

1. (1) is competent to control the affairs of a _credit union_ ; and
2. (2) has an appropriate range of skills and experience relevant to the activities carried on by the _credit union_.

13.2

A _credit union_ must employ personnel (whether or not they are _remunerated_) with the skills, knowledge and expertise necessary for the discharge of the responsibilities allocated to them.

13.3

A _credit union_ must ensure that:

1. (1) the performance of multiple functions by its _relevant staff_ does not and is not likely to prevent those staff from discharging any particular functions soundly, honestly and professionally; and
2. (2) its _senior personnel_ define arrangements concerning the segregation of duties within the _credit union_ and the prevention of conflicts of interests.

13.4

A _credit union_ must ensure appropriate segregation of duties in order to minimise the risk of contravention of requirements and standards under the _regulatory system_.

14

Outsourcing

14.1

For the purposes of this Chapter, an operational function is regarded as critical or important if a defect or failure in its performance would materially impair the continuing compliance of a _credit union_ with the conditions and obligations of its _authorisation_ or its other obligations under the _regulatory system_ , or its financial performance, or the soundness or the continuity of its _regulated activities_.

14.2

Without prejudice to the status of any other function, the following functions will not be considered critical or important for the purposes of this Chapter:

1. (1) the provision to the _credit union_ of advisory services, and other services which do not form part of the _regulated activities_ of the _credit union_ , including the provision of legal advice to the _credit union_ , the training of personnel of the _credit union_ , billing services and the security of the _credit union_ ?s premises and personnel; and
2. (2) the purchase of standardised services, including market information services and the provision of price feeds.

14.3

If a _credit union outsources_ critical or important operational functions or any _regulated activities_ , it remains fully responsible for discharging all of its obligations under the _regulatory system_ and must comply, in particular, with the following conditions:

1. (1) the _outsourcing_ must not result in the delegation by _senior personnel_ of their responsibility;
2. (2) the relationship and obligations of the _credit union_ towards its _members_ under the _regulatory system_ must not be affected;
3. (3) the conditions with which the _credit union_ must comply in order to be _authorised_ , and to remain so, must not be undermined; and
4. (4) none of the other conditions subject to which the _credit union_ ?s _authorisation_ was granted must be removed or modified.

14.4

A _credit union_ must exercise due skill and care and diligence when entering into, managing or terminating any arrangement for the _outsourcing_ to a service provider of critical or importantoperational functions or of any _regulated activities_ , including considering any risk arising from the arrangement in the context of other risks.

14.5

A _credit union_ must in particular take the necessary steps to ensure that the following conditions are satisfied:

1. (1) the service provider must have the ability, capacity, and any _authorisation_ required by law to perform the _outsourced_ functions, services or activities reliably and professionally;
2. (2) the service provider must carry out the _outsourced_ services effectively, and to this end the _credit union_ must establish methods for assessing the standard of performance of the service provider;
3. (3) the service provider must properly supervise the carrying out of the _outsourced_ functions, and adequately manage the risks associated with the _outsourcing_ ;
4. (4) appropriate action must be taken if it appears that the service provider may not be carrying out the functions effectively and in compliance with applicable laws and regulatory requirements;
5. (5) the _credit union_ must retain the necessary expertise to supervise the _outsourced_ functions effectively and to manage the risks associated with the _outsourcing_ , and must supervise those functions and manage those risks;
6. (6) the service provider must disclose to the _credit union_ any development that may have a material impact on its ability to carry out the _outsourced_ functions effectively and in compliance with applicable laws and regulatory requirements;
7. (7) the _credit union_ must be able to terminate the arrangement for the _outsourcing_ where necessary without detriment to the continuity and quality of its provision of services to _members_ ;
8. (8) the service provider must co-operate with the _PRA_ in connection with the _outsourced_ activities;
9. (9) the _credit union_ , its auditors and the _PRA_ must have effective access to data related to the _outsourced_ activities, and the _PRA_ must be able to exercise this right of access;
10. (10) the service provider must protect any confidential information relating to the _credit union_ and its _members_ ; and
11. (11) the _credit union_ and the service provider must establish, implement and maintain a contingency plan for disaster recovery and periodic testing of backup facilities where that is necessary having regard to the function, service or activity that has been _outsourced_.

14.6

A _credit union_ must ensure that the respective rights and obligations of the _credit union_ and of the service provider are clearly allocated and set out in a written agreement.

15

Internal Audit

15.1

A _credit union_ must establish and maintain an internal audit function.

15.2

The internal audit function referred to in 15.1 may either be:

1. (1) in-house; or
2. (2) subject to any applicable requirement in this Part relating to _outsourcing_ , _outsourced_ to a third party.

16

Record-Keeping and Information Management

16.1

A _credit union_ must arrange for orderly records to be kept of its business and internal organisation, including all services and transactions undertaken by it, which must be sufficient to enable the _PRA_ to monitor the _credit union_ ?s compliance with the requirements under the _regulatory system_ , and in particular to ascertain that the _credit union_ has complied with all obligations with respect to _members_.

16.2

A _credit union_ must maintain information systems to:

1. (1) enable the _governing body_ to direct and control the _credit union's_ business effectively; and
2. (2) enable the _credit union_ to provide the information required by the _PRA_.

16.3

A _credit union_ must ensure that the _governing body_ satisfies itself that:

1. (1) the information is sufficient for the proper assessment of the potential risks for the _credit union_ , and in order to determine its need for _capital_ and liquidity;
2. (2) the information is sufficiently comprehensive to provide a clear statement of the performance and financial position of the _credit union_ ;
3. (3) management information reports are prepared with sufficient frequency;
4. (4) sufficient attention is focused on key factors affecting income and expenditure and that appropriate performance indicators are employed; and
5. (5) actual performance is compared with planned and previous performance.

16.4

A _credit union_ must ensure that any quarterly and annual returns that may be required by the _PRA_ under _rules_ are reviewed at a sufficiently senior level before they are submitted to the _PRA_. The review must check for consistency between:

1. (1) different returns;
2. (2) various tables on the same return; and
3. (3) the returns and information prepared for the _governing body_.

17

Business Continuity

17.1

A _credit union_ must put in place contingency arrangements to ensure it could continue to operate and comply with its regulatory obligations in the event of an unforeseen interruption, such as a complete failure of information technology systems or a destruction of premises by fire, which would otherwise prevent the normal operation of the _credit union_.

17.2

A _credit union_ must regularly review and test business continuity arrangements in order to ensure their effectiveness.

18

Transitionals

18.1

For the period from 3 February 2016 to 30 September 2018, the reference to ?2%? in 8.5(3) and 2.5(2) is replaced by ?0%?.

18.2

A _Northern Ireland credit union_ need not comply with Chapter 6 with respect to any security invested in, or loan made, prior to 31 March 2012 provided that the security or loan matures in accordance with the terms of the relevant agreement in effect on 31 March 2012.

18.3

A _Northern Ireland credit union_ need not comply with 3.2 to 3.9 with respect to any loan outstanding on 31 March 2012 provided that the loan remains repayable in accordance with the terms of the relevant loan agreement in effect on 31 March 2012.

19

Regulatory Reporting for Credit Unions

19.1

A _credit union_ must submit to the _PRA_ _data items_ CQ and CY in accordance with this Chapter.

19.2

The table below sets out, in respect of the requirements set out in 19.1:

1. (1) in column (1), each _data item_ which must be submitted;
2. (2) in column (2), the frequency at which a _firm_ must submit each _data item_ , with such periods being calculated from a _firm?s_ _accounting reference date_ ; and

3. (3) in column (3), the due date for submission of each _data item_ , being the last day of the period given in column (3) following the end of the relevant reporting frequency period set out in column (2).

Column 1 (_data item_)	Column 2 (frequency)	Column 3 (due date)
CQ	Quarterly	1 month
CY	Annually	6 months

19.3

If the due date for submission of a _data item_ required by this Chapter falls on a day which is not a _business day_ , the _data item_ must be submitted so as to be received by the _PRA_ no later than the first _business day_ after the due date.

19.4

Where a _credit union_ is required to submit _data items_ in accordance with this Chapter, it must submit this information by electronic means made available by the _PRA_.

19.5

A _data item_ must give the firm reference number (or all the firm reference numbers in those cases where a _data item_ is submitted on behalf of a number of _firms_).

19.6

The annual report required to be included pursuant to CY must be made up for the same period as the audited accounts published by the _credit union_ in accordance with section 3A of the Friendly and Industrial and Provident Societies Act 1968 or provided in accordance with article 49 of the Credit Unions (Northern Ireland) Order 1985 (as appropriate).

19.7

Data item CQ can be found here template").

19.8

Data item CY can be found here template").